

PART III

Strategy

After making the decision to invest, a comprehensive strategy is needed. Should a contrarian approach be taken, as Edward Johnson, founder of Fidelity, espouses? Following the crowd can be dangerous, he says; crowds “tend to commit suicide.” Should you think long term or short term? Peter Bernstein assesses the time factor, weighing the importance of volatility, liquidity, and the need for income. Timing is a critical element in formulating a strategy because, as Gerald Loeb, long-time vice-chairman of E. F. Hutton, states, more errors are made in deciding when to sell, not when to buy. That’s when most opportunities are lost. Other considerations include diversification, buying on margin, and Mario Gabelli’s mysterious “catalysts.” In a strategic case study, Gabelli describes how finding “catalysts” can boost your net worth. Sticking to a strategy, while periodically assessing it, takes the gambling out of investing.